

Step 4: Final Selection

Opt for the fund with the lowest tracking difference and the highest average daily volume. This ensures a more accurate replication of benchmark performance and increased liquidity.

Now, Let's see the checklist in action:

Imagine we're picking Nifty 50 ETFs. We again go to AMFI's website and filter the schemes by putting "Open-ended", "Other" & "Index Funds/ETFs".

